MTRC

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References:

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- Petersen, H. Craig., Lewis and Jain. Managerial Economics. Pearson Education
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28/4/2023

Faculty **HOD** **Dean Academics**

LECTURE 18

PERFECT COMPETITION

Types of Market Structures: -

A variety of market structures will characterize an economy. Such market structures essentially refer to the degree of competition in a market.

There are other determinants of market structures such as the nature of the goods and products, the number of sellers, number of consumers, the nature of the product or service, economies of scale etc. We will discuss the four basic types of market structures in any economy.



Perfect Competition:-

Perfect Competition is a theoretical Market Structure that features unlimited contestability (No barriers to enter) and unlimited number of producers and consumers, and a Perfect Elastic Demand Curve. Perfect competition is a market structure where an infinitely large number of buyers and sellers operate freely and sell a homogeneous commodity at a uniform price.

Features of Perfect Competition: -



1. **Many Buyers and Sellers** – There will always be a huge number of buyers and sellers in this form of marketplace. The advantage of having a large number of small-sized producers is that they cannot combine to influence the market price. If the quantity offered by an individual seller is very small compared to the total market produce, they cannot influence the market price independently.
2. **Homogeneity** – The product or service produced by the buyers in a perfectly competitive market should be homogenous in all respects. There should be no differentiation between them in terms of quantity, size, taste, etc., so that the products are perfect substitutes for each other. If a seller tries to charge a higher price for products that are so similar, they will lose their customers immediately.

3. **Free Entry and Exit** – Another condition of a perfectly competitive market is that no artificial restrictions prevent a firm's entry, or compel an existing firm to stay put when they want to leave. Their decision to enter, stay or leave the market depends purely on economic factors.
4. **Perfect Knowledge –** The buyers and sellers have perfect knowledge about the market conditions.
5. **Mobility of Factors of Production –** The factors of production like labour, raw materials and capital should have total mobility under perfect competition. The labour should have the freedom to move from one place (industry, market or production unit) to another depending on their remuneration.
6. **Transport Cost –** In the perfectly competitive market, the costs for transporting goods, services or factors of production from one place to another is either zero or constant for all sellers. The assumption is that all sellers are equally near or farther away from the market. Thus, the transport cost is uniform for all of them. The result is that the overall costs for production and the selling price are the same across the board.
7. **Absence of Artificial Restrictions –** There is no interference from the government or any other regulatory body to hinder the smooth functioning of the perfect competition. There are no controls or restrictions over the supply or pricing and the price can change solely based on the demand and supply conditions.
8. **Uniform Price –** There is a single uniform price for all products and services in a perfectly competitive market. The forces of demand and supply determine it.



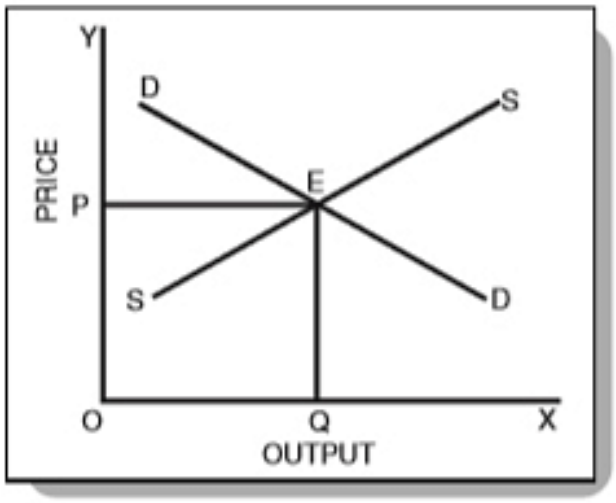
Price Determination under Perfect Competition: -

Under perfect competition, many factors influence the determination of the price of goods. The equilibrium of the industry and the equilibrium of a firm as important factors behind price determination under perfect competition.

Equilibrium(संतुलन) of the Industry under Perfect Competition: -

In economic terms, an industry consists of many independent firms. Each firm has a number of factories, farms or mines, as required. Each such firm in industry produces a homogeneous product. Equilibrium of the industry happens when the total output of the industry is equal to the total demand. In such a scenario, the prevailing price of a commodity is its equilibrium price.

We know that under competitive conditions, the interaction of demand and supply determines the equilibrium price as shown below:



In Fig. 1 above, OP is the equilibrium price. Further, OQ is the equilibrium quantity sold at that price. Now, the equilibrium price is the price at which both the demand and supply are equal. In other words, no buyer, who wanted to buy at that price, goes dissatisfied and no seller, who wanted to sell his goods at that price, goes dissatisfied either.

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LECTURE 19

MONOPOLY

Monopoly: -

Pure Monopoly is the form of market organization in which there is a single seller of a commodity for which there are no close substitutes. Thus, it is at the opposite extreme from perfect competition monopoly may be the result of: (1) Increasing returns to scale; (2) Control over the supply of raw materials; (3) Patents; (4) Government Franchise.



Features of Monopoly: -

1. Single Seller-:

There is only one producer of a product. It may be due to some natural conditions prevailing in the market, or may be due to some legal restriction in the form of patents, copyright, sole dealership, state monopoly, etc. Since, there is only one seller any change in supply plans of that seller can have substantial influence over the market price. That is why a Monopolist is called a Price Maker.

2. No Close substitute:-

The commodity sold by the Monopolist has no close substitute available for it. Therefore, if a consumer does not want the commodity at a particular price, he is likely to get available closely similar to what he is giving up. For example, there are chapters you have studied that the availability of substitute goods impact.

3. Barriers to the entry of new firms:-

There are barriers to entry into industry for the new firms. It may be due to following reasons:

(i) Ownership of strategic raw material or exclusive knowledge of production

(ii) Patent Rights

(iii) Government Licensing

(iv)Natural Monopolies.

4. Price Discrimination:-

Price Discrimination exists when the same product is sold at different price to different buyers. A monopolist practices price discrimination to maximize profits. For example

Electricity Charges in Delhi are different for Domestic users and Commercial and Industrial users.

5. Abnormal Profits in the Long run:-

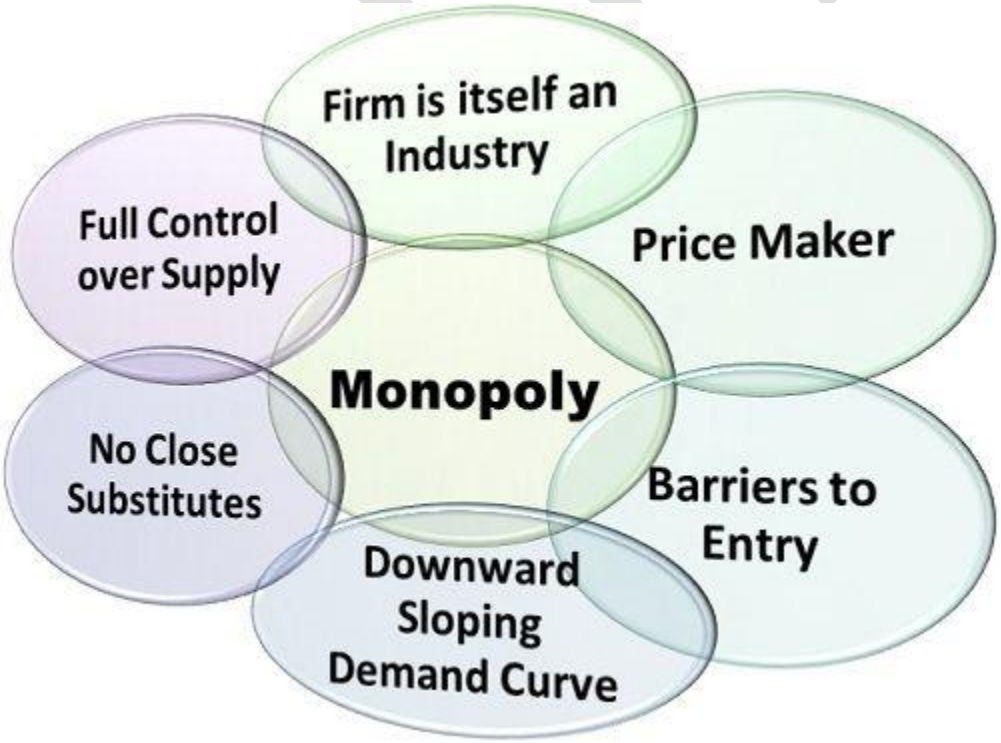
Being the single seller, monopolists enjoy the benefit of higher profits in the long run.

6. Limited Consumer Choice:-

As they are the single producer of the commodity, in the absence of any close substitute the choice for consumer is limited.

7. Price in Excess of Marginal Cost:-

Monopolists fix the price of a commodity (per unit) higher than the cost of producing one additional unit as they have absolute control over Price Determination.



Let us compare the key characteristics of perfect competition and monopoly.

Basis	Perfect Competition	Monopoly
Number of Sellers	A large number of firms.	Single firm.
Barriers to Entry	Very low.	Very high.
Nature and availability of Substitute Products	Very good substitutes are readily available.	No good substitutes are available.
Firms compete through	Prices only.	Product features and quality, advertising, and marketing.
Pricing Power	Negligible. Dependent on demand and supply.	Significant. Companies can manipulate prices as they want.

References:-

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LECTURE 20

MONOPOLISTIC COMPETITION

Monopolistic competition is a situation in which the market, basically, is a competitive market but has some elements of a monopoly. In this form of market there are many firms that sell closely differentiated products. The examples of this form of market are Mobiles, Cosmetics, Detergents, toothpaste etc.

Features of Monopolistic competition: -

1. **Low Barriers to Entry**

   In monopolistic competition, one firm does not monopolize the market and multiple companies can enter the market and all can compete for a market share. Companies do not need to consider how their decisions influence competitors so each firm can operate without fear of raising competition.

2. **Product Differentiation**

   Under Monopolistic Competition products are differentiated. This means that the product is same, brands sold by different firms differ in terms of packaging, size, color, color features etc. For example-soaps, toothpaste, mobile instruments etc. The importance of Product Differentiations is to create an image in the minds of the buyers that the product sold by one seller is different from that sold by another seller.

3. **Selling Costs**

   As the products are close substitutes of each other, they are needed to be differentiate for this firms incurs selling cost in making advertisements, sale promotions, warranties, customer services, packaging, colors are brand creation.

4. **Free Entry and Exit of firm**

   Like perfect competition, free entry and exit of firms is possible under this market form. Since there are no barriers to entry and exit, firms operating under Monopolistic Competition, in the long run, earn only normal profits.

5. Lack of Perfect Knowledge

The buyers and sellers do not have perfect knowledge of the market. There are innumerable products each being a close substitute of the other. The buyers do not know about all these products, their qualities and prices.

6. Less Mobility:

Under monopolistic competition both the factors of production as well as goods and services are not perfectly mobile.

7. More Elastic Demand:

Under monopolistic competition, demand curve is more elastic. In order to sell more, the firms must reduce its price.



Example 1: Hairdressing Industry

The hairdressing industry provides a good example of monopolistic competition. There are a lot of hairdressers in every city, and each has slightly different skills or service preferences. Also, they have various premises in different locations where they provide the services. This differentiation creates a different image in the eyes of consumers.

Product Differentiation	Hairdressing Firm A	Hairdressing Firm B
Haircut Style	Classic hairstyles	Modern hairstyles
Hair Products	Organic and natural products	Premium products
Specialization	Hair Color	Hair extensions

Example 2: Bakery Shop

Bakery shops are a classic example of monopolistic competition. In most towns, various bakeries sell similar products in slightly different ways. However, if there is only one bakery in a particular area of the town, then it can demand a slightly higher price for its products.

Product Differentiation	Bakery A	Bakery B
Bread	Whole wheat	Sourdough

Cake	Dutch chocolate	Red velvet
Pastry	Croissant	Tart

Every person has a different preference. One person may desire a red velvet cake, while their partner may want a Dutch chocolate cake. Many other options exist, like Panera Bread, Cinnabon, Au Bon Pain, Baskin-Robbins, Dunkin' Donuts, etc.

The following table will help students grasp the most critical points of **Difference between monopoly and monopolistic competition.**

Monopoly	**Monopolistic Competition**
What does it mean?	
A monopoly is the type of imperfect competition where a seller or producer captures the majority of the market share due to the lack of substitutes or competitors.	A monopolistic competition is a type of imperfect competition where many sellers try to capture the market share by differentiating their products.
Number of players	
One	Many
Degree of competition	
No competition exists, as only one seller is present in the market.	A very high competition exists, as there are many sellers.

Barriers to entry	
High barriers to entry	Low barriers to entry
Demand curve	
Steep	Flat
Price control	
Due to steep demands and only one seller, the price is controlled by the seller.	Some level of price control is exercised by buyers, as many sellers are available in the market.

Advantages and Disadvantages of Monopolistic Competition: -

Monopolistic competition provides both benefits and pitfalls for companies and consumers.

Pros

- Few barriers to entry for new companies
- Variety of choices for consumers
- Company decision-making power for prices and marketing
- Consistent quality of product for consumers

Cons

- Many competitors limits access to economies of scale
- Inefficient company spending on marketing, packaging and advertising
- Too many choices for consumers means extra research for consumers
- Misleading advertising or imperfect information for consumers

References: -

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LECTURE 21

OLIGOPOLY

Meaning of Oligopoly: -

The term Oligopoly means 'Few Sellers'. An Oligopoly is an industry composed of only few firms, or a small number of large firms producing bulk of its output. Since, the industry comprises only a few firms, or a few large firms, any change in Price and Output by an individual firm is likely to influence the profits and output of the rival firms. Major Soft Drink firms, Airlines and Milk firms can be cited as an example of Oligopoly.



OLIGOPOLY

An oligopoly is an economic situation in which a relatively small number of large companies dominate the market.

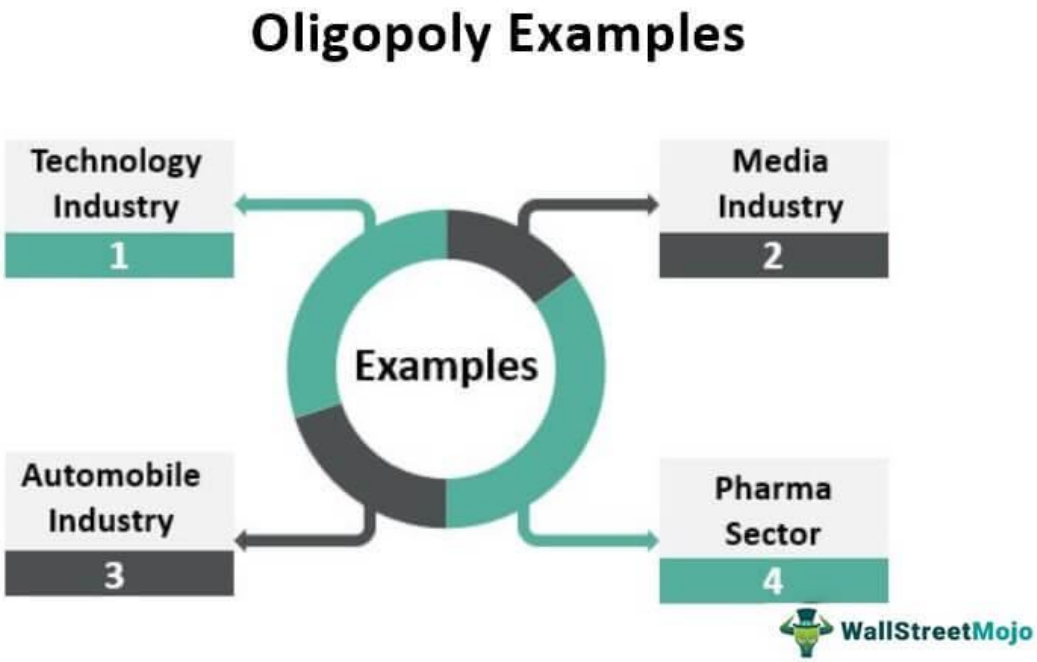
DEFINITION

An oligopoly is a market model in which a market for specific goods or services is divided among a small number of large producers.

Lewis (2020) states that an oligopoly "is a market structure with a small number of firms, none of which can keep the others from having significant influence" (p. 271).

EXAMPLES

- **Automobile industry:** The automobile industry is dominated by a few large companies such as Ford and GM.
- **Telecommunications industry:** The telecommunications skyline is dominated by a handful of corporate behemoths that control most of the market share.



Features of Oligopoly: -

1. A Few Firms

Oligopoly as an industry is composed of few firms, or a few large firms controlling bulk of its output.

2. Firms are mutually dependent

Each firm in oligopoly market carefully considers how its actions will affect its rivals and how its rivals are likely to react. This makes the firms mutually dependent on each other for taking price and output decisions.

3. Barriers to the Entry of Firms

The main cause of a limited number of firms in oligopoly is the barriers to the entry of firms. One barrier is that a new firm may require huge capital to enter the industry. Patent rights are another barrier.

4. Non-Price Competition

When there are only a few firms, they are normally afraid of competing with each other by lowering the prices; it may start a Price War and the firm who starts the price war was may ultimately loose. To avoid price war, the firm uses other ways of competition like: Customer Care, Advertising, Free Gifts etc. Such a competition is called non-price competition.

Types of Oligopoly: -

1. Pure or Perfect Oligopoly-

Though, it is rare to find pure oligopoly situation, yet, cement, steel, Aluminum and chemicals producing industries approach pure oligopoly.

2. Imperfect or Differentiated Oligopoly-

If the firms produce differentiated products, then it is called differentiated or imperfect oligopoly. Example - Passenger cars, cigarettes or soft drinks. The goods produced by

different firms have their own distinguishing characteristics, yet all of them are close substitutes of each other.

3. **Collusive Oligopoly-**

If the firms cooperate with each other in determining price or output or both, it is called collusive oligopoly or cooperative oligopoly.

4. **Non-collusive Oligopoly-**

If firms in an oligopoly market compete with each other, it is called a non-collusive or Non-cooperative oligopoly.

Comparison chart: -

BASIS FOR COMPARISON	MONOPOLY	OLIGOPOLY
Meaning	Monopoly is a form of market structure, where only one seller sells his distinctive product and dominates the entire market.	A market situation in which there are few firms in the market that sells either homogeneous or differentiated product and compete in the market.
Number of players	One	Two to ten
Product Differentiation	Extreme	None to substantial
Competition	Does not exist.	Little
Prices	High prices are charged.	Fair prices are charged.

BASIS FOR COMPARISON	MONOPOLY	OLIGOPOLY
Control over price	Very considerable	Some
Basis of setting price	Demand of consumers for the product.	Competitors prices.
Restrictions to entry	Due to economic, institutional, legal or any other reason.	Due to economies of scale.

References: -

- https://www.coursehero.com/file/p4fj13g/OligopolyAnOligopolyisanindustrycomposedofonlyfewfirmsorasmall/
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